

substantially, to 23%. Obviously, you'll want to determine how big a loss you'll incur if the stop triggers and adjust the stop placement accordingly.

For long-term holds, for which this pattern is best suited, you may wish to not place a stop and just monitor performance periodically. Remember, it takes 2 years for price to reach the ultimate high, on average. If you use a stop, you'll likely be taken out of the trade before it reaches its maximum price.

[Table 25.8](#) shows how the diving board pattern has performed over the decades.

Performance over time. The 1990s had the fewest samples (167) and the 2010s had the most (395), so maybe the descending performance reflects the sample count. That is, as more samples become available, performance drops.

Failures over time. Failures show a similar trend. The bigger the gain, the lower the failure rate.

Table 25.9 is supposed to show performance for busted patterns, but I didn't analyze them for this pattern. Thus, you won't find Table 25.9 in the book.

Trading Tactics

[Table 25.10](#) shows trading tactics.

Measure rule, targets. The sample trade will give an example of how to use the measure rule. I found that if you use the full height of the pattern from the top of it to the low at the plunge and add the height to the top of the pattern, price will reach the target 62% of the time. That's if your pattern behaves like the ones I found.

For a closer or farther target, adjust the height in the calculation accordingly. The bottom of the table shows how often the measure rule works for varying heights used in the calculation. For example, if you cut the height in half, the stock will reach the target 79% of the time on average.